

Advanced Financial Management

Course: CPA — Certified Public Accountant

Level: Advanced Level (CA33 — Compulsory Paper)

Last updated: 30 July 2026

Syllabus version: Based on the standard KASNEB CPA Advanced Level Advanced Financial Management syllabus structure — advanced investment appraisal, cost of capital, capital structure, dividend policy, mergers/acquisitions, risk management and treasury topics. Authored from general corporate-finance knowledge and standard syllabus topic coverage, not copied from any existing notes provider, textbook, or third-party study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

Unit overview

Unit description. This paper extends Intermediate-level financial management into genuinely advanced corporate finance territory: evaluating complex investment decisions, determining an optimal capital structure, setting dividend policy, evaluating mergers and acquisitions, and managing financial risk through hedging and treasury techniques. Where Intermediate-level financial management builds core technique, this paper asks a candidate to apply that technique to genuinely complex, judgement-heavy corporate finance decisions.

Prerequisite. A candidate attempting this paper is expected to have a secure grasp of Intermediate-level financial management (time value of money, investment appraisal basics, working capital management) and Intermediate-level financial reporting, since advanced financial management questions frequently draw on both.

Learning outcomes. A candidate who passes this paper should be able to:

- Evaluate complex investment decisions, including those involving risk, inflation, and capital rationing.
- Estimate a company's cost of capital and apply it to investment and financing decisions.
- Evaluate capital structure decisions and their effect on a company's overall value and risk.

- Evaluate dividend policy decisions and their effect on shareholder wealth.
 - Evaluate a proposed merger or acquisition, including valuation and financing considerations.
 - Apply risk-management and treasury techniques, including hedging foreign exchange and interest-rate exposure.
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1. Investment appraisal under risk and uncertainty

Beyond straightforward NPV, advanced appraisal explicitly incorporates risk. **Sensitivity analysis** tests how much a single input variable (e.g. sales volume) would need to change before a project's NPV turns negative — the smaller that required change, the more sensitive (risky) the project is to that variable. **Expected NPV** uses probability-weighted outcomes across different scenarios to produce a single expected value, while also considering the **standard deviation** of possible NPVs as a measure of the project's risk. A **risk-adjusted discount rate** — using a higher discount rate for riskier projects — is a common, practical (if somewhat blunt) way of building risk directly into the appraisal.

2. Capital rationing

Capital rationing occurs when a company has more worthwhile investment opportunities than available funds to invest in all of them. Under **single-period capital rationing**, when projects are divisible, the company should rank projects by their **profitability index** ($\text{NPV} \div \text{initial investment}$) and select projects in that order until the capital budget is exhausted, maximising total NPV generated from the limited funds available. Where projects are indivisible (must be accepted in full or not at all), the company instead needs to evaluate combinations of whole projects to find the combination generating the highest total NPV within the budget constraint.

3. Cost of capital

The **cost of equity** can be estimated using the **dividend growth model** ($K_e = D_1 \div P_0 + g$, where D_1 is next year's expected dividend, P_0 is the current share price, and g is the expected dividend growth rate) or the **Capital Asset Pricing Model** ($K_e = R_f + \beta(R_m - R_f)$, where R_f is the risk-free rate, β measures the share's systematic risk relative to the market, and R_m is the expected market return). The **cost of debt** reflects the return debt investors require, adjusted for the tax relief a company receives on interest payments (since interest is typically tax-deductible). The **weighted average cost of capital (WACC)** combines the cost of equity and after-tax cost of debt, weighted by their respective proportions in the company's capital structure, and is commonly used as the discount rate for evaluating new investments of similar risk to the company's existing operations.

4. Capital structure theory

Capital structure is the mix of debt and equity a company uses to finance its operations. The **traditional view** holds that a moderate amount of debt lowers a company's overall WACC (since debt is generally cheaper than equity, partly due to its tax deductibility) up to a point, beyond which the increasing financial risk of excessive debt raises both the cost of debt and the cost of equity enough to increase WACC again — implying an optimal capital structure exists. **Modigliani and Miller's theory (without taxes)** argues that, under strict simplifying assumptions, capital structure is actually irrelevant to a company's overall value; their later theory (with taxes) recognises that debt's tax-deductibility creates a genuine tax shield benefit, favouring higher debt levels, up to the point where the costs of financial distress (the risk of difficulty meeting debt obligations) begin to outweigh that tax benefit.

5. Dividend policy

Key dividend policy debates include: the **dividend irrelevance theory** (again from Modigliani and Miller), arguing that, under strict assumptions, shareholders are indifferent between receiving a dividend or an equivalent capital gain, since dividend policy alone doesn't create additional value; and the **bird-in-hand argument**, which holds that investors genuinely prefer a certain dividend today over an uncertain future capital gain, implying dividend policy does matter to some investors in practice. Practical considerations that influence real-world dividend policy include a company's need to retain funds for future investment, tax differences between dividends and capital gains for different investor clienteles, and the **signalling effect** — since a dividend cut, in particular, is often interpreted by the market as a negative signal about the company's prospects, even when the underlying reason is unrelated to genuine trouble.

6. Mergers and acquisitions

Evaluating a proposed **merger or acquisition** requires valuing the target company (using techniques such as discounted cash flow valuation, comparable-company multiples, or asset-based valuation), estimating any **synergies** the combination might create (cost savings, revenue growth, or financial benefits beyond what the two companies could achieve independently), and evaluating how the acquisition will be financed (cash, shares, or a mix, each carrying different implications for the acquirer's capital structure and existing shareholders). A common and important caution: many acquisitions ultimately fail to create the value originally projected, often because anticipated synergies were overestimated, or because the practical challenges of integrating two organisations — systems, culture, people — were underestimated relative to the purely financial modelling used to justify the deal.

7. Foreign exchange risk management

Companies trading internationally face **transaction risk** (the risk that exchange rate movements affect the value of a specific committed transaction, e.g. an invoice denominated in a foreign currency), **translation risk** (the risk that exchange rate movements affect the reported value of foreign assets/liabilities when translated into the reporting currency at year-end), and **economic risk** (the broader risk that exchange rate movements affect a company's long-term competitive position, e.g. making its exports less price-competitive). Common hedging techniques include **forward contracts** (locking in an exchange rate today for a transaction settling in future), **money market hedges** (borrowing/depositing in the relevant currencies to synthetically fix the effective exchange rate), and **currency options** (providing the right, but not the obligation, to exchange at a set rate, at a cost — useful when a company wants downside protection while retaining upside potential).

8. Interest rate risk management

Companies with floating-rate debt face the risk that rising interest rates increase their borrowing costs. Common hedging techniques include **interest rate swaps** (exchanging floating-rate interest obligations for fixed-rate ones, or vice versa, with another party), **forward rate agreements (FRAs)** (locking in an interest rate for a future borrowing/lending period), and **interest rate options/caps** (providing protection against rates rising above a specified level, while retaining benefit if rates fall, at a cost). The right choice of hedge depends on how much certainty a company wants (a swap/FRA locks in a rate entirely; an option/cap provides one-sided protection at a premium cost) and its view on likely future rate movements.

9. Full worked question — weighted average cost of capital and NPV

Scenario. A company's capital structure consists of KSh 60 million equity (market value) and KSh 40 million debt (market value). The cost of equity is estimated at 14%, and the pre-tax cost of debt is 10%. The corporate tax rate is 30%. The company is evaluating a new project requiring an initial investment of KSh 5 million, expected to generate cash inflows of KSh 2 million per year for 4 years.

Required: (a) Compute the after-tax cost of debt. (b) Compute the WACC. (c) Using the WACC as the discount rate, compute the project's approximate NPV (you may use a simplified annuity factor of 3.17 for 4 years at approximately 12%) and advise whether it should be accepted.

Solution:

(a) After-tax cost of debt = $10\% \times (1 - 0.30) = 7\%$.

(b) Total capital = 60m + 40m = 100m. Weight of equity = $60/100 = 0.6$. Weight of debt = $40/100 = 0.4$.

WACC = $(0.6 \times 14\%) + (0.4 \times 7\%) = 8.4\% + 2.8\% = 11.2\%$ (approximately 11–12%).

(c) PV of annual cash inflows $\approx 2,000,000 \times 3.17 = \text{KSh } 6,340,000$.

NPV $\approx 6,340,000 - 5,000,000 = \text{KSh } 1,340,000$ (positive).

Advice: Since the NPV is positive at a discount rate approximating the company's WACC, the project is expected to increase shareholder wealth and should be **accepted**, assuming its risk profile is similar to the company's existing operations (so that using the overall WACC as the discount rate is appropriate).

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CPA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CPA ADVANCED LEVEL — ADVANCED FINANCIAL MANAGEMENT (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) Explain how sensitivity analysis is used to assess investment risk. (8 marks)
- (b) A company has divisible investment opportunities with the following NPVs and initial investments: Project A (NPV 200,000; investment 800,000), Project B (NPV 180,000; investment 600,000), Project C (NPV 150,000; investment 500,000). The company has KSh 1,200,000 available. Rank the projects by profitability index and recommend the optimal combination. (12 marks)

(Total: 20 marks)

QUESTION TWO

A company's cost of equity, estimated using CAPM, uses a risk-free rate of 8%, a market return of 14%, and a beta of 1.2.

- (a) Compute the cost of equity. (6 marks)
- (b) The company's pre-tax cost of debt is 11%, and the corporate tax rate is 30%. Compute the after-tax cost of debt. (4 marks)
- (c) If the company's capital structure is 70% equity and 30% debt, compute the WACC. (6 marks)
- (d) Explain ONE limitation of using CAPM to estimate the cost of equity. (4 marks)

(Total: 20 marks)

QUESTION THREE

(a) Distinguish between the traditional view and Modigliani and Miller's (with-tax) view of capital structure. (12 marks)

(b) Explain the concept of "costs of financial distress" and its relevance to capital structure decisions. (8 marks)

(Total: 20 marks)

QUESTION FOUR

(a) Explain the "signalling effect" of dividend policy, using a dividend cut as an example. (10 marks)

(b) Outline TWO reasons a company might choose to retain earnings rather than pay them out as dividends. (10 marks)

(Total: 20 marks)

QUESTION FIVE

(a) Distinguish between transaction risk, translation risk and economic risk in foreign exchange exposure. (12 marks)

(b) Distinguish between a forward contract and a currency option as hedging techniques, noting one advantage of each. (8 marks)

(Total: 20 marks)

11. Marking guide — model answers to the practice examination**QUESTION ONE**

(a) (8 marks) — Sensitivity analysis tests how much a single input would need to change before NPV turns negative; the smaller the required change, the more sensitive/risky the project is to that variable.

(b) (12 marks) — PI: $A = 200,000/800,000 = 0.25$; $B = 180,000/600,000 = 0.30$; $C = 150,000/500,000 = 0.30$. Rank B and C above A (tied at 0.30). With 1,200,000 available: select B (600,000) + C (500,000) = 1,100,000 used, NPV = 330,000, remaining 100,000 insufficient for A — **optimal combination: B and C**, total NPV KSh 330,000 (accepting full or partial A instead of B or C would produce a lower total NPV given the constraint).

QUESTION TWO

(a) (6 marks) — $K_e = 8\% + 1.2(14\% - 8\%) = 8\% + 7.2\% = \mathbf{15.2\%}$.

(b) (4 marks) — $11\% \times (1 - 0.30) = \mathbf{7.7\%}$.

(c) (6 marks) — $WACC = (0.7 \times 15.2\%) + (0.3 \times 7.7\%) = 10.64\% + 2.31\% = \approx \mathbf{12.95\%}$.

(d) (4 marks) — CAPM relies on estimating beta and the market return, both of which are themselves estimates subject to error, and it assumes a linear risk-return relationship that may not hold precisely in practice.

QUESTION THREE

(a) (12 marks) — Traditional view: moderate debt lowers WACC up to a point, beyond which rising financial risk increases WACC again, implying an optimal structure exists. MM with tax: debt's tax-deductibility creates a genuine tax shield favouring higher debt, up to the point where financial distress costs offset that benefit.

(b) (8 marks) — Costs of financial distress are the costs (direct and indirect) arising from difficulty meeting debt obligations — e.g. legal costs, lost customer/supplier confidence — which increase with higher debt levels and eventually offset the tax benefit of further debt, explaining why an optimal capital structure exists rather than ever-increasing debt being ideal.

QUESTION FOUR

(a) (10 marks) — The market often interprets a dividend cut as a negative signal about a company's future prospects, even where the underlying reason (e.g. funding a genuinely attractive investment) is unrelated to distress — because dividend cuts are historically associated with financial difficulty, the market reacts accordingly.

(b) (10 marks — 5 marks each) — To fund attractive future investment opportunities without needing external financing; to preserve financial flexibility/reduce reliance on debt.

QUESTION FIVE

(a) (12 marks) — Transaction risk: exchange rate movements affecting the value of a specific committed transaction. Translation risk: movements affecting reported value of foreign assets/liabilities on translation. Economic risk: movements affecting long-term competitive position.

(b) (8 marks) — Forward contract: locks in a rate today for future settlement (advantage: certainty, no upfront cost); currency option: right but not obligation to exchange at a set rate (advantage: retains upside potential while limiting downside, at the cost of an upfront premium).

12. Exam technique and revision checklist

- Always state the relevant formula (CAPM, dividend growth model, WACC, profitability index) explicitly before substituting numbers.
- Capital rationing questions: rank by profitability index for divisible projects, but check whether projects are described as divisible or indivisible before applying that rule mechanically.
- Capital structure "distinguish" questions: anchor your answer to the specific theory's core claim (traditional: optimal structure exists; MM without tax: irrelevant; MM with tax: tax shield vs distress costs).
- Dividend policy questions: always mention the signalling effect explicitly when a scenario involves a dividend change, since it's a frequently and specifically tested concept.
- Forex/interest-rate hedging "distinguish" questions: pair each technique with a genuine advantage/disadvantage, not just a bare definition.

Quick revision — one line per topic:

1. Sensitivity analysis: smaller required change to flip NPV negative = more sensitive/risky project.
2. Capital rationing (divisible): rank by profitability index ($NPV \div \text{investment}$).
3. K_e via CAPM: $R_f + \beta(R_m - R_f)$. After-tax K_d : pre-tax rate $\times (1 - \text{tax rate})$.
4. WACC: weighted average of K_e and after-tax K_d by market-value weights.
5. Capital structure: traditional view (optimal mix exists) vs MM (irrelevance without tax; tax shield vs distress costs with tax).
6. Dividend policy: irrelevance theory vs bird-in-hand; signalling effect of dividend changes.
7. M&A: value the target, estimate synergies realistically, choose financing method carefully.
8. FX risk: transaction, translation, economic. Hedges: forward (certainty), money market hedge, options (one-sided protection).
9. Interest rate risk: swaps/FRA (full certainty) vs caps/options (one-sided protection, premium cost).

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.